

- **Money market accounts.** A money market account (MMA) is little more than a savings account with a relatively high minimum balance requirement and a complicated name. You will most likely need \$1,000 to \$3,500 to open a money market account, and you may have to keep at least \$1,000 in your account at all times to avoid paying a monthly account maintenance fee. Like savings accounts, MMAs are liquid (except for the minimum balance requirement), but they may also pay more interest, depending on how much you have in the account. Because they require you to tie up so much cash, I'd say skip these. One exception: MMAs at many Internet banks tend to offer decent rates, so they're worth investigating.
- **Certificates of deposit (CDs).** A certificate of deposit is a so-called "savings product" that usually pays a fixed interest rate if you keep your money in it for a specified period of time (known as the CD's **term**). You can find a CD with as short a term as three months or as long a term as ten years. CDs almost always pay slightly better rates than savings or money market accounts at traditional banks. With a CD you make a one-time investment and earn interest until the CD's term is complete. You do not continually add money to a CD; if you want to invest more money, you can open a new CD.

At many banks you need at least \$1,500 to open a CD, but some banks will allow you to open one with just \$500. Basically, you're giving up the liquidity you have with a savings or money market account in exchange for a higher rate. If you take out the money you've deposited before the CD's term is complete, you'll be hit with a steep early withdrawal fee. In some cases, you could lose all your interest plus part of your initial investment. So CDs are best for money you know you won't need for a while.

When you put money in a CD, you're sort of placing a bet that interest rates at the moment are higher than they will be in the near future. Here's an explanation: Say you deposit money in a one-year CD that promises to pay you 4%. Now